

3.9 Strategic methods: how to pursue strategies (A-level only)

3.9.1 Assessing a change in scale

Content	Additional information
The reasons why businesses grow or retrench	Types of growth to include organic and external.
The difference between organic and external growth	
How to manage and overcome the problems of growth or retrenchment	Issues with growth should include: • economies of scale (including technical, purchasing and managerial) • economies of scope • diseconomies of scale • the experience curve • synergy • overtrading. Issues with managing growth should include Greiner's model of growth.
The impact of growth or retrenchment on the functional areas of the business	
Assessing methods and types of growth	Methods of growth to include mergers, takeovers, ventures, franchising. Types of growth to include vertical (backward and forward), horizontal and conglomerate integration.